FS Student Hedge Fund · Research

H2 2026 Report

Positioning for a late cycle reflation: equities, fixed income and commodities into December 2026, built from the published research of the fund's investment teams.

Hedge Fund Department
Frankfurt School of Finance and Management
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Overview

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Foreword

Letter from the Hedge Fund Department

This report marks a milestone for the FS Student Hedge Fund. Over the first half of 2026 our investment teams produced five research papers: three portfolio papers covering the equity, fixed income and commodities sleeves, and two literature reviews, on the volatility risk premium and on the efficient market hypothesis, that set the standard the portfolio work is held to. This document synthesises all five into a single view of how we enter the second half of the year.

The half we are describing was dominated by one variable: the war in Iran and the energy shock it transmitted through every major economy. Our teams watched Brent futures run from roughly $66 at the start of the year to a settlement peak near $118 to $119 at the end of March, with the EIA daily spot assessment reaching $138 in early April, then unwind toward $80 by 19 June and $77 to $78 by 23 June as an interim ceasefire was signed, then fray again when Iran re-declared the Strait of Hormuz closed on 20 and 21 June. Each sleeve had to answer the same question, which is what a supply-driven inflation shock means when central banks sit at different points in the cycle. It is a source of confidence to us that three teams working independently converged on one regime read: late-cycle reflation, higher-for-longer rates, and a wide, two-sided range of outcomes.

We want to be equally clear about what this report is not. It is not a performance report. The sleeves are research portfolios, and the weights across sleeves are set by this department rather than in the papers. It is not a claim that we called the year correctly. Several of our teams' most important findings were revisions of their own starting assumptions. Gold’s two-decade link to real yields failed a formal test. The China manufacturing PMI, read for years as the barometer of copper demand, failed four independent tests. Oil failed the data test as a strategic holding and was removed rather than defended. We consider that discipline, not weakness. Every position described here carries a written trigger, stop or falsification rule, set before entry.

One thing has changed since the reporting date and it belongs in the opening paragraph rather than an appendix. Through July the interim ceasefire broke down, attacks on shipping resumed and widened beyond the Gulf, and oil round-tripped again at a higher level. Section 9 records that in full. The regime read survives it. What has widened is the range of outcomes on both sides.

We thank every analyst who contributed, and we invite the reader to consult the underlying papers on our Research page.

One reading convention deserves a sentence before the report begins. This report draws on five research papers, but in places it consolidates where two teams reached different conclusions, fills a gap the papers leave open, or updates a finding that events have overtaken. We wanted that distinction visible rather than blended into a single voice. Passages marked ***Fund view*** are therefore judgements of the Hedge Fund Department. Everything unmarked is traceable to one of the papers listed in Appendix A.

Francesco di Fano and Julius Jagland
Heads of FS Student Hedge Fund Department

Jakob Hautkappe
Senior Associate

Section 1

Executive Summary

Our house view entering the second half of 2026 is a **late-cycle reflation regime created by the Iran conflict's energy shock**. Inflation sat above the 2% objective in every major economy at the half-year. The Federal Reserve held at 3.50% to 3.75%, and its June dot plot, the chart showing where each policymaker expects rates to be, moved the 2026 median projection from 3.4% to 3.8%, which converts a projected cut into a projected hike and pushes easing into 2027 and beyond. The European Central Bank raised its deposit rate to 2.25% on 11 June, its first increase since September 2023 and a reversal of eight consecutive cuts. The resulting policy divergence, a Fed on a hawkish hold and an ECB tightening into weak growth, is the single thread running through all three portfolio papers.

We express this view through three sleeves.

Equities (Timur Khairullin, Anton Hilger and Sandro Janashvili): a value-tilted and defensive-tilted US and European portfolio of UCITS exchange-traded funds, built as a 60% passive core with 40% thematic satellites, roughly 55% US and 45% Europe. The largest active bet is banks plus financials at 12% combined, funded by underweights in technology and real estate held through the core.

Fixed income (Anastasia Shevchuk, Johannes Volkemer and Raphael Banner): a defensive allocation of 70% EUR and 30% USD, designed as the book's shock absorber. The EUR sleeve runs a mild barbell of 50% short, 15% intermediate and 35% long duration. The USD sleeve runs a bullet-weighted structure of 20%, 50% and 30%, focused on intermediate maturities.

Commodities (Jakob Hautkappe and Jonathan Nadar): 50% gold, 30% copper, 20% passive agriculture and 0% oil, with oil held instead as a conditional engagement behind three explicit entry gates.

Key numbers at a glance

Sleeve	Structure	Key metrics
Equities	60% core and 40% satellites, roughly 55% US and 45% Europe	Blended trailing dividend yield 1.9%, roughly double the 1.0% of the S&P 500. Beta 0.86 against MSCI World in EUR and 0.73 against the S&P 500 in EUR. Both computed 24 July 2026, see 4.5

Sleeve	Structure	Key metrics
Fixed income	70% EUR and 30% USD. EUR barbell 50/15/35, USD bullet 20/50/30, across 12 EUR and 8 USD UCITS bond ETFs	Blended duration approximately 4.3 years, EUR sleeve 4.6 and USD sleeve 3.5. The 15 to 30 year EUR anchor alone contributes roughly 62% of the EUR sleeve's duration
Commodities	50% gold, 30% copper, 20% agriculture, 0% oil	Expected return approximately 8.0% per year, volatility 15.3%, Sharpe approximately 0.36 at a 2.5% euro-cash risk-free rate, effective number of bets 2.63

The shared exposure

The common risk across the book is a **durable, rapid peace settlement**. The equity paper states this as a conscious position rather than an accident of sector selection, and the commodities paper names the same scenario, a durable Hormuz de-escalation combined with a sharp dollar rally pressuring gold, copper and oil at once, as its governing portfolio risk. We accept that exposure knowingly, we have sized it so that no single outcome dominates, and every sleeve carries defined triggers to rotate if the regime turns.

> ***Fund view.*** Between the reporting date and publication, that risk did not materialise. The opposite tail did. Section 9 sets out the July record and Section 10 draws the consequences for positioning.

Section 2

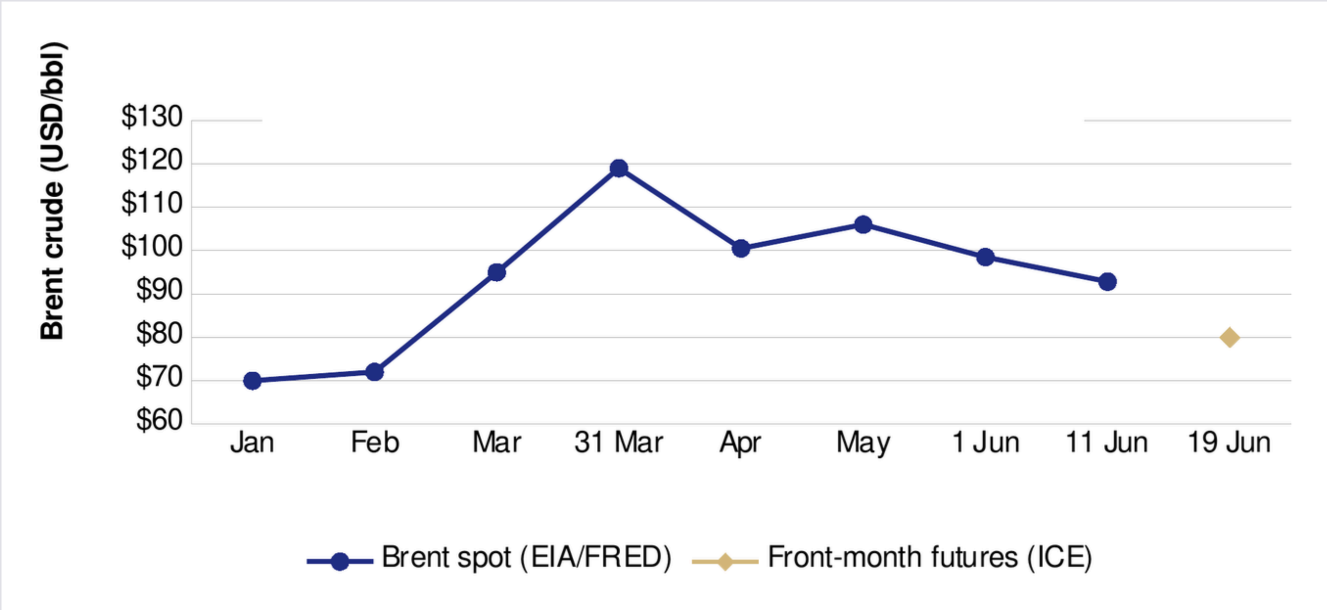
The Macro Backdrop

2.1 The energy shock and the price path

The proximate cause of the 2026 inflation impulse is the Iran conflict and the disruption to oil and gas supply, centred on the Strait of Hormuz, a corridor that normally carries roughly a fifth of the world's seaborne oil. The conflict effectively closed the strait from late February 2026. Two structural changes accompanied it. The death of Iran's Supreme Leader on 28 February is the category of event that has historically produced large and durable oil repricings. The exit of the United Arab Emirates from OPEC+ on 1 May thinned the cartel's spare-capacity buffer from about 3.8 to about 2.5 million barrels per day by 2027. Spare capacity is the cushion that lets producers absorb a shock by raising output instead of letting the price do the work. A thinner cushion means future disruptions are absorbed by price.

The price path over the first half was a round trip:

Date	Brent	Note
Early January 2026	approximately $66	Pre-war range. Team data put the pre-war mean at $64.6 within a range of $58.9 to $72.5
31 March	approximately $118 to $119	War peak in front-month futures settlement terms. The commodities team mark $118.3, the equities team cite "near $119". The EIA daily spot assessment printed $126.69 the same day
7 April	$138 daily spot	The EIA daily spot series peaked at $138.21 while front-month futures traded near $105 to $112, a spot to futures dislocation above $25 per barrel. The fund's fair-value work anchors on the $118 futures figure
30 April	$126 intraday, futures	Front-month futures touched $126.41 overnight into 30 April, the 52-week futures high. The highest futures settlement remained $118.35
9 to 11 June	mid $90s	$91.3 on 9 June, $92.84 on 11 June per EIA and FRED
19 June	approximately $80	Front-month futures, after the 17 June interim ceasefire, a 60-day memorandum of understanding
22 to 23 June	approximately $77 to $78	Lowest in about three months



Brent crude during the Middle East conflict (2026)

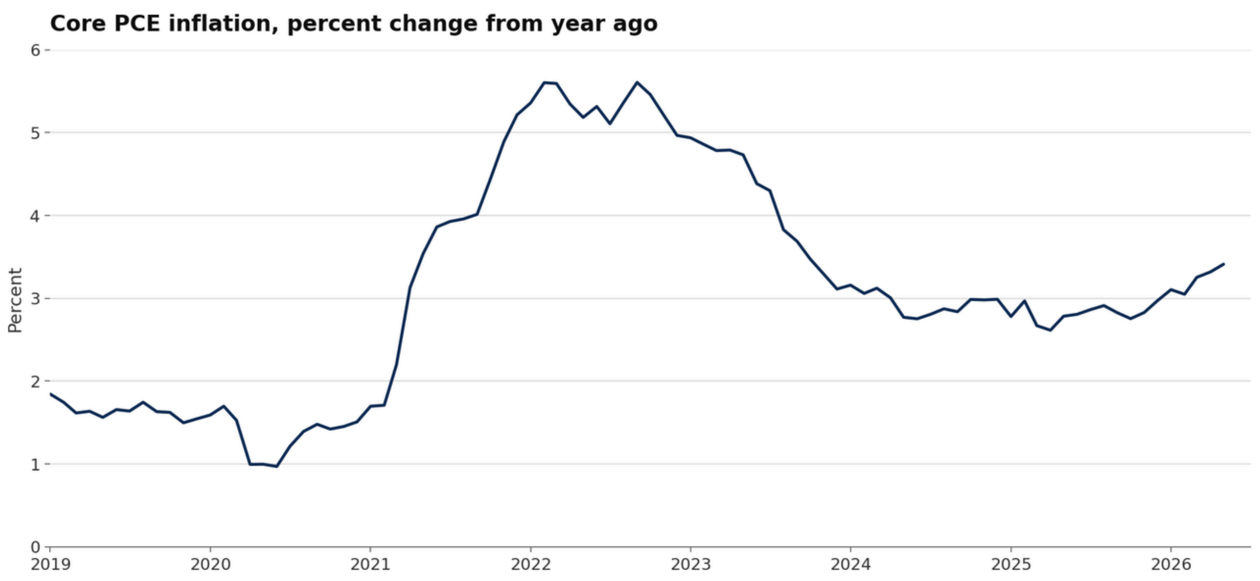
Sources: EIA/FRED (spot); ICE/Investing.com (front-month futures). From the Equities Portfolio Research paper.

De-escalation was not settled even at the papers' cut-off. By 20 and 21 June Iran again declared the strait closed while the United States disputed the claim, and Hormuz flows of roughly 12 million barrels per day remained well below the norm of 15 to 15.5 million, after a May low near 9.6 million. War-risk insurance, the marine cover a vessel buys for a single transit through a conflict zone, had repriced from about 0.125% of hull value per transit to between 0.2% and 0.4%. That repricing is the most concrete observable footprint of the regime change, because it is a price paid by commercial parties who bear the loss.

2.2 Inflation above target across the major economies

The round trip in oil lifted headline inflation everywhere at once.

In the **United States**, headline CPI rose 4.2% year on year in May, the fastest since 2023, with energy contributing over 60% of the monthly gain. Core PCE, the Federal Reserve's preferred gauge, which excludes food and energy, rose from 3.0% in December 2025 to roughly 3.3% by April 2026, about 130 basis points above target. Headline PCE reached 3.8% in April, a second consecutive acceleration. The fixed income team place this in a longer arc: core PCE peaked near 5.6% in February 2022, declined to approximately 3.1% by the end of 2023 on revised data, bottomed near 2.6% in early 2025, and has risen since.



Core PCE inflation, percent change from year ago

Source: FRED, series PCEPILFE. From the Fixed Income Portfolio paper.

In the **euro area**, headline HICP accelerated to 3.2% in May from 3.0% in April, the highest since 2023, with core at 2.5%. The ECB's June projections put headline inflation at 3.0% in 2026, 2.3% in 2027 and 2.0% in 2028, and core at 2.5% in both 2026 and 2027 before 2.2% in 2028. In the **United Kingdom**, CPI ran around 3.3% with services inflation stabilising near 4.5%.

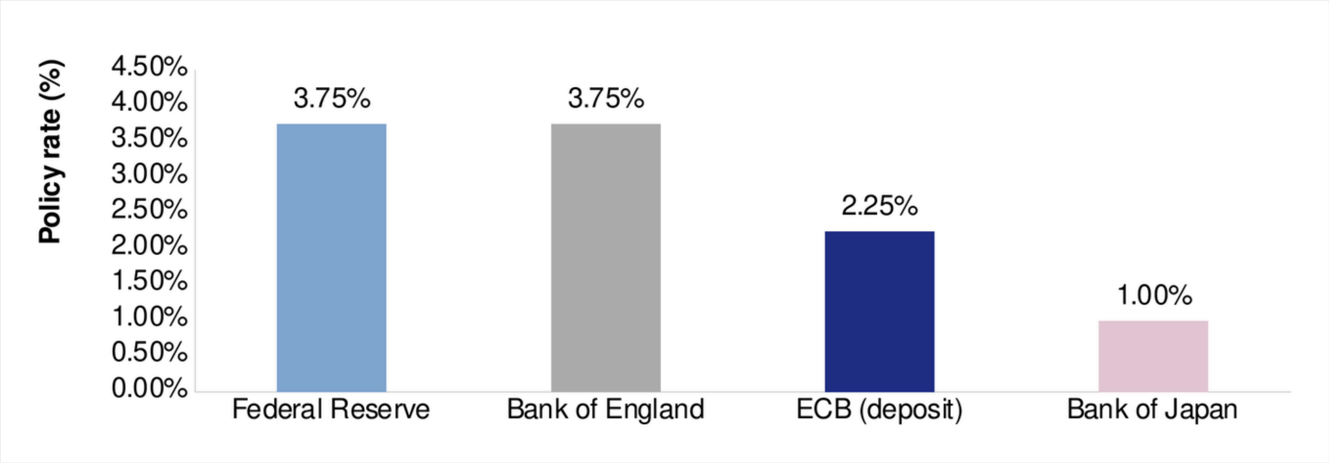
Long-run inflation expectations stayed comparatively well anchored, which we read as the market treating the spike as a supply-driven episode rather than a de-anchoring of expectations.

2.3 Divergence among the major central banks

The shared shock produced divergent responses, because the major central banks entered it at different cyclical starting points.

- **The Federal Reserve** held its target range at 3.50% to 3.75%, a hold priced at 97.4% going into the 17 June meeting. That meeting, Kevin Warsh's first as chair, removed any bias toward cuts. The dot plot's 2026 median rose from 3.4% to 3.8% and reductions were pushed into 2027 and 2028. By mid-June the forward curve priced roughly a 59% probability of at least one hike by December, with the priced probability of cuts near 1%. Over 2024 and 2025 the Fed had cut about 175 basis points, from a peak range of 5.25% to 5.50% set in July 2023 and held into August 2024.

- **The ECB** raised all three key rates by 25 basis points on 11 June, effective 17 June, taking the deposit facility to 2.25%, the main refinancing rate to 2.40% and the marginal lending facility to 2.65%. It did so into weakness. Euro-area GDP contracted 0.2% quarter on quarter in Q1 2026, and staff cut 2026 growth to 0.8% while revising inflation up. Markets priced roughly one further hike in 2026, with one pricing source showing the deposit rate near 2.50% by December.
- **The Bank of England** held at 3.75% with a hawkish split. **The Bank of Japan** hiked 25 basis points to 1.00% on 16 June on a 7 to 1 vote, its highest policy rate since 1995.



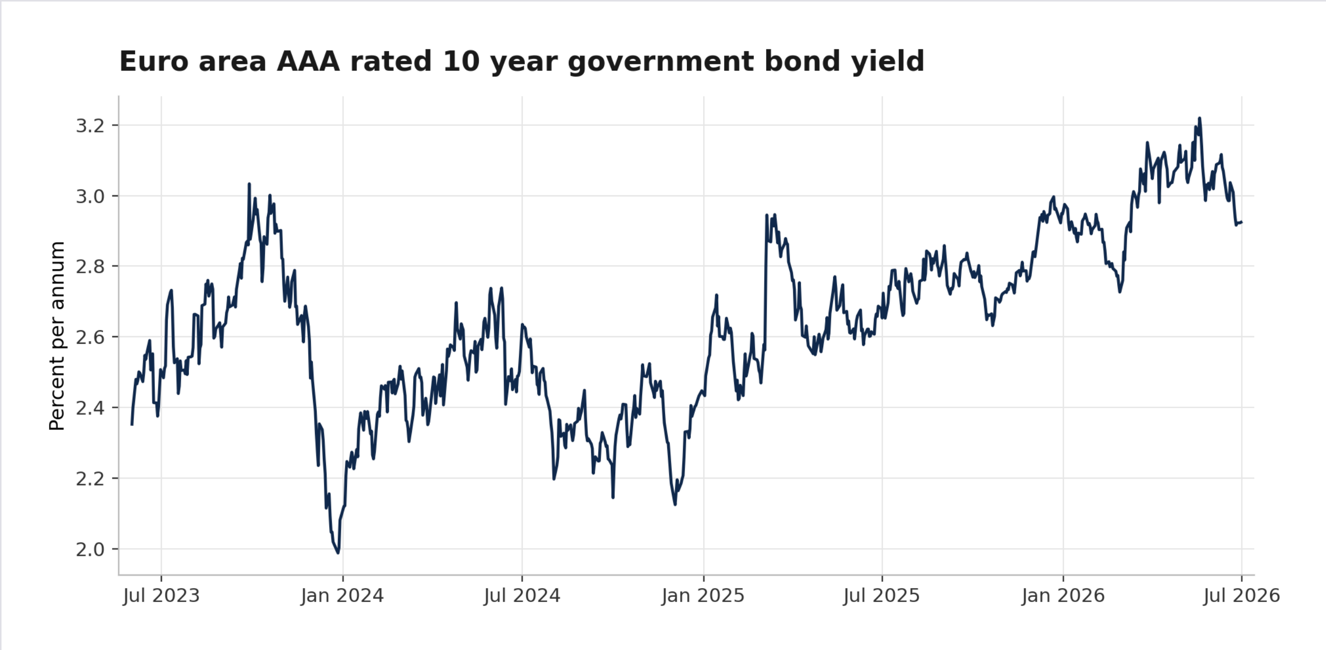
Major central bank policy rates (as of 20 June 2026)

Source: central bank communications. From the Equities Portfolio Research paper.

2.4 Growth, curves and financial conditions

The divergence is what shapes all three sleeves. The **United States** sits in the rising-growth, rising-inflation quadrant of late-cycle reflation. ISM manufacturing reached 54.0 in May, a fifth consecutive month above 50 and consistent with roughly 2.2% annualised GDP growth, with new orders at 56.8. Payrolls added 172,000 against roughly 85,000 expected, and unemployment held at 4.3%. The **euro area** occupies falling-growth, rising-inflation territory closer to mild stagflation, with unemployment at 6.3% and hourly labour costs rising 3.2% year on year in Q1, which is the channel through which an energy shock becomes a services-inflation problem.

At the half-year the US 10-year Treasury yield sat near 4.54%, the 2-year near 4.13%, and the 2s10s curve slope at plus 0.38%, a re-steepened curve that matters for bank net interest margins. The euro-area AAA-rated 10-year government bond yield was 2.92% on 26 June. The dollar index traded near 101. Despite the hawkish backdrop, financial conditions remained comparatively benign, with US high-yield credit spreads compressed near 2.7 percentage points, well below crisis levels.



Euro area AAA rated 10 year government bond yield

Source: ECB Data Portal, AAA yield curve 10 year spot rate, daily data through the reporting date of 30 June 2026. Redrawn by the fund.

The central tension entering the second half is between **still-easy financial conditions and a policy stance restrictive in intent**. The dominant risk is two-sided and runs through energy. A durable settlement lets inflation resume falling and reopens the path to easing. Renewed escalation around Hormuz could force central banks out of a holding stance into active tightening.

Section 3

The Portfolio

The fund runs three sleeves, each constructed on its own merits by its own team. What binds them is a shared regime read and a deliberate division of labour. **Equities carry the return engine and the late-cycle conviction. Fixed income is the shock absorber. Commodities provide a diversifier built from genuinely different drivers.**

3.1 Allocation overview

Sleeve	Internal allocation	Role in the book
Equities	Core: 34% US broad market (S&P 500), 26% Europe broad market (STOXX Europe 600). Satellites: 8% European banks, 8% global defence, 6% health care, 6% consumer staples and food, 5% energy, 4% US financials, 3% rare earths	Late-cycle value and defensive tilt, income, market-like beta of 0.86 against MSCI World in EUR
Fixed income	70% EUR (50/15/35 short, intermediate, long) and 30% USD (20/50/30), across 12 EUR and 8 USD UCITS bond ETFs	Safe foundation, volatility dampener, blended duration of approximately 4.3 years, deliberately below long-duration benchmarks
Commodities	50% gold, 30% copper, 20% passive agriculture, 0% oil with a conditional engagement on standby	Diversifier driven by official-sector monetary demand, Chinese physical metal demand, and a gated energy option

Sleeve weights within the total book

Sleeve	Weight
Equities	37%
Fixed income	52%
Commodities	11%

> ***Fund view: how these weights are set.*** The weight of each sleeve within the total book is a decision of the Hedge Fund Department and is deliberately **not** specified in any of the three papers. Each team was instructed to build its sleeve on its own merits, and the commodities paper states explicitly that the fund-level weight to commodities was set separately by the Head of the Hedge Fund Department. That separation is the point. It stops a team from tuning its internal construction to a number it was hoping to be given, and it keeps the sleeve-level analysis independently auditable. The consequence for this report is that Sections 4 to 6 describe three internally complete sleeves, and the blended risk profile of the book follows only once the weights above are entered. They were decided by the Head of the Hedge Fund Department and entered at final sign-off. The entered weights are the value weights of the three sleeves in the fund's paper portfolio at its inception on 26 June 2026, with US dollar positions converted at the European Central Bank reference rate of 1.1401 dollars per euro for that date, rounded to the nearest percentage point.

3.2 Where the diversification is real

The diversification logic is deliberate rather than decorative.

Within **equities**, the satellites express the regime while a 60% passive core keeps costs low and preserves participation if the underweights recover. Within **fixed income**, diversification runs across two currency areas and a ladder of duration buckets precisely so that no single central-bank decision drives the sleeve. Within **commodities**, the three active exposures were chosen for driver diversification, monetary and official-sector demand for gold, Chinese physical demand for copper, and an energy supply shock for oil, rather than for conviction strength.

The correlation evidence supports that. Measured over the daily sample from January 2005 to June 2026:

	Gold	Oil	Copper	Agriculture
Gold	1.00	0.16	0.33	0.21
Oil	0.16	1.00	0.33	0.29
Copper	0.33	0.33	1.00	0.34
Agriculture	0.21	0.29	0.34	1.00

> ***Fund view: what these numbers mean for the sleeve.*** Four observations follow from the matrix, and together they are the difference between diversification that is shown and diversification that is claimed.

The measured range across the three held assets runs from 0.21 to 0.34, which is low for assets sitting inside a single asset class. A commodity book assembled around one macro view typically shows pairwise correlations well above 0.5, because every leg answers to the same cyclical impulse. These do not, and the reason is structural rather than fortunate. Gold is priced by monetary and official-sector demand, copper by Chinese physical absorption, and agriculture by weather and harvest cycles. Three engines mean three separate ways for the sleeve to be wrong, which is the property the fund is buying.

The lowest pair sits exactly where the sleeve needs it. Gold to agriculture at 0.21 is the weakest link in the set, and it connects the largest position at 50% to the layer held explicitly to dampen variance. A risk dampener earns its weight only if it is genuinely unrelated to the position the book actually holds the most of. Here it is. That single number is what turns the passive layer from a coverage formality into a real risk contribution, and it is the reason removing it lifts sleeve volatility from 15.3% to 17.8%.

The highest pair marks the limit of the claim. Copper to agriculture at 0.34 is the closest relationship in the set, and the economics explain it. Both are real-economy, inflation-sensitive assets, so part of what looks like diversification between them is a shared business-cycle and inflation factor rather than independence. The practical reading is that the passive layer diversifies the gold position strongly and the copper position only partially, and the sleeve should not be described as though it did both equally well.

Low correlations are also what stop the volatility differences from compounding into concentration. Weights of 50, 30 and 20 produce risk contributions of roughly 46%, 39% and 15%. Copper carries more risk than its weight implies because its volatility is 25.5% against gold's 17.7%. If the three legs were tightly correlated, that gap would concentrate the sleeve on its most volatile position. Instead the sleeve reaches an effective number of bets of 2.63, and the gap between weight and risk stays modest.

Two limits belong alongside all of this. First, these are full-sample correlations estimated over twenty-one years spanning several regimes, which is the right way to estimate them and also the reason they describe normal states rather than crisis states. In a sharp risk-off event correlations converge toward one and the sleeve behaves more like a single position than like three. Second, all three holdings are dollar-priced, so the dollar runs underneath the matrix as a common channel that pairwise correlations of local returns do not fully capture. Those two facts together are the mechanism behind the correlated-reversal scenario in Section 8, and they are why the sleeve is sized with restraint rather than sized to the diversification the matrix appears to promise.

Across sleeves, the long-duration bonds and the gold position are the two holdings designed to work when the equity book does not.

3.3 Where the diversification stops

We are equally explicit about the limit. The equity satellites, the zero-oil-but-gated energy stance and the commodities book all reference the same geopolitical variable, and a rapid, durable peace settlement would move several of them the same way at once. That shared exposure is documented in each paper and consolidated in Section 8.

> ***Fund view.*** There is a second limit that the papers do not state because no single team could see it, and a reader should know it before drawing comfort from the three-sleeve structure. **In an energy-driven shock, the fixed income sleeve is not a hedge for the equity sleeve.** The long-duration positions are built to gain in a growth shock, when yields fall. An energy shock raises inflation expectations and yields, so the bond anchor loses money at the same time as the reflation trades gain. The fixed income sleeve hedges a European recession and a growth disappointment. It does not hedge a supply shock. Section 9 shows this playing out in July.

Section 4

Equities

From "Equities Portfolio Research" by Timur Khairullin, Anton Hilger and Sandro Janashvili, 24 June 2026.

4.1 Construction

The equity sleeve translates the late-cycle reflation read into a value-tilted and defensive-tilted portfolio of UCITS exchange-traded funds, built as a 60% passive core with 40% thematic satellites and held to the December 2026 rebalancing. A passive broad-market core captures the market return at minimal cost. Sector and thematic satellites express the macro convictions while avoiding the idiosyncratic risk of individual stocks.

Regionally the sleeve is roughly 55% US and 45% Europe. The US pulls weight through growth momentum and deeper liquidity in thematic products. Europe contributes a forward price to earnings discount of 19.98%, from the STOXX Europe 600 at 18.02 times against 22.52 times for the S&P 500, more than double the US dividend yield at 2.49% against 1.05%, an ECB-rate tailwind to its large banking sector, and no currency drag for a euro-denominated fund. US positions are held unhedged as a known, accepted exposure.

> ***Fund view.*** The paper quotes the Europe to US valuation gap in three places, as a range of roughly 9% to 26% across measures in the source audit, as roughly 15% to 20% in the synthesis, and as 19.98% in the valuation table. We use the valuation table figure, because it is the one derived directly from the two forward multiples and is therefore checkable.

4.2 The satellites

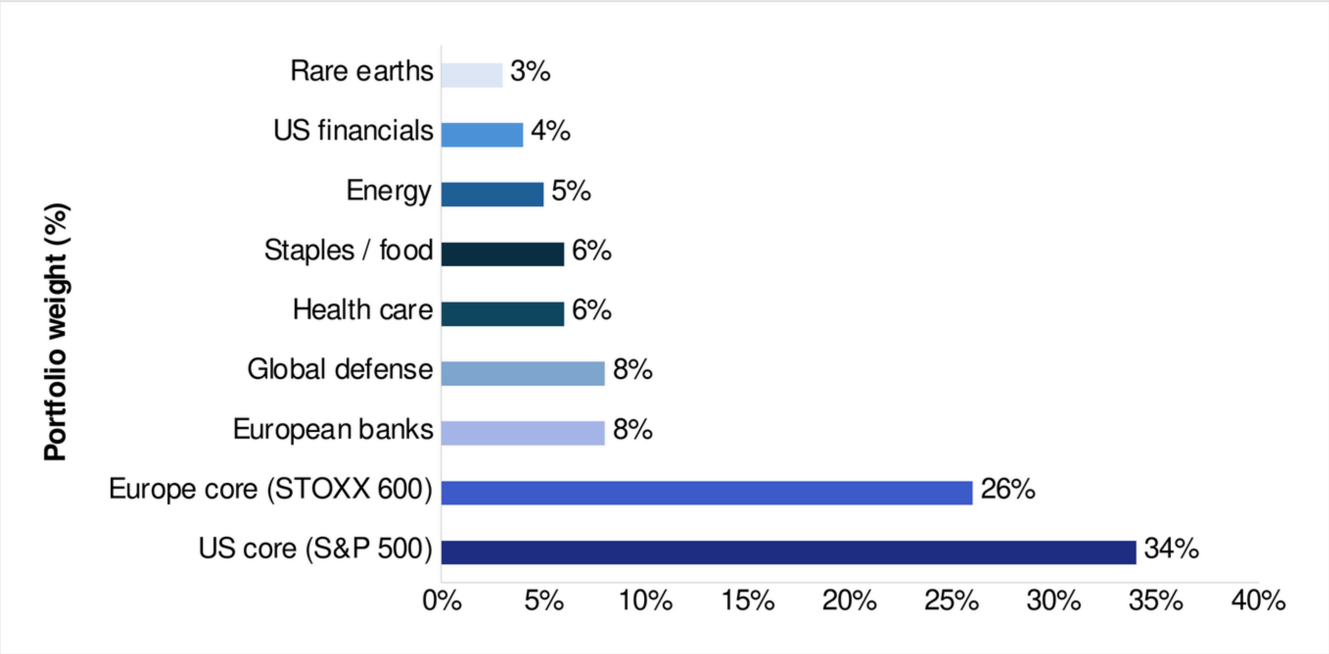
Satellite	Weight	Thesis
European banks	8%	Highest conviction. The ECB hike improves net interest margins
Global defence	8%	NATO's path toward 5% of GDP by 2035 and multi-year budget backlogs
Health care	6%	Cheap defensive with low rate sensitivity
Consumer staples and food	6%	Pricing power against sticky inflation

Satellite	Weight	Thesis
Energy, oil and gas	5%	Tactical hedge against the ceasefire collapsing
US financials	4%	Curve re-steepening, with 2s10s at plus 0.38%, supports margins
Rare earths and strategic metals	3%	Small thematic tilt, with a China-concentration caveat

Banks plus financials, at 12% combined, is the largest active bet, the highest-conviction theme in both regions. Technology and real estate carry no satellite weight and are held below benchmark through the core, which is the funding source for the overweights. In the US sector work the two largest active tilts against the S&P 500 are minus 6.0 percentage points in information technology, which screens at 40 times forward earnings against a market multiple near 21 times, and plus 2.5 points in health care.

The most important revision in the paper concerns **energy and defence**, which the team's source notes had treated as a single geopolitical block. They decoupled. Defence rests on treaty budget commitments and multi-year order backlogs, which is visibility that survives a falling oil price. Energy rests directly on the oil premium, much of which unwound through mid-June. The team therefore kept defence as a conviction overweight and cut energy to 5%, reframing it as a tactical hedge against the ceasefire collapsing rather than as a co-equal conviction.

The rare-earths position is sized small deliberately. The liquid UCITS vehicle available is heavily weighted to China, Australia and the US, so it expresses the Western de-risking thesis imperfectly. The team flags the mismatch rather than ignoring it.



Recommended combined portfolio: 60% core / 40% satellites

From the Equities Portfolio Research paper.

4.3 The rotation the sleeve is riding

European fund flow data supports the value and income tilt. Q1 2026 flows into European funds rose 19.4% quarter on quarter, or EUR 29.9bn, to EUR 184.2bn in total. Equity funds drew EUR 95.3bn against EUR 42.9bn in Q4 2025, an increase of 122%, and passive funds and ETFs captured 65% of total flows. Over the same quarter EUR 23.3bn left growth-focused funds on rising scepticism about artificial-intelligence valuations, with capital rotating from growth toward defensive, value and dividend-yielding European assets. Over twelve months the STOXX Europe 600 returned plus 18.6% and the STOXX Europe 50 plus 20.0%.

4.4 An implementation point the reader should hold in mind

Under EU PRIIPs and KID rules, US-domiciled sector ETFs are generally not purchasable by EU-resident clients, so the deployable list uses UCITS equivalents. The consequence, which the paper states directly, is that the sector convictions are **screened on US sector data but implemented predominantly through European sector ETFs**. Health care ships through a STOXX Europe 600 health care fund, energy through a STOXX Europe 600 oil and gas fund, staples through a STOXX Europe 600 food and beverage fund. Only the US financials line retains direct US sector exposure, and the European sector analysis carries the corresponding convictions for the vehicles that actually ship.

> ***Fund view.*** We regard the disclosure as adequate and the substitution as defensible, because European energy and health care carry higher dividend yields and lower multiples than their US counterparts, which fits the sleeve's stated character. A reader should nonetheless hold the screen and the vehicle apart when judging the sleeve. The four instrument lines originally marked "confirm" have been completed with issuer-verified ISINs in the republished paper; listings should still be re-confirmed in Interactive Brokers on deployment day.

4.5 Portfolio statistics

The computed statistics confirm the intended character. The **blended trailing dividend yield is 1.9%**, roughly double the 1.0% of the S&P 500. **Portfolio beta is 0.86 against MSCI World in EUR and 0.73 against the S&P 500 in EUR**, which is market-like exposure with the value and defensive tilt the regime calls for.

Both figures carry a methodology note that a careful reader should have. They were computed on 24 July 2026, roughly a month after the paper's own cut-off and after this report's reporting date, from listings of the deployable instruments at the table weights. The yield blend uses trailing twelve-month cash distributions over the last close, taken from distributing German listings where available and from distributing same-index proxies where the share class accumulates. The defence sleeve has no distributing twin, so the blend covers 92% of portfolio weight and is renormalised. The betas are ordinary least squares regressions of the weighted portfolio's weekly EUR return series over 104 weeks to 24 July 2026. Converting the S&P 500 at spot EUR to USD instead of using a EUR-listed tracker gives 0.62 rather than 0.73, a difference that reflects asynchronous closing times rather than a different exposure.

> ***Fund view.*** We publish the figures because they are now computed and documented rather than asserted, which was the open item at the review stage. We flag the 24 July computation date because it sits outside the reporting period, and we recommend that the H1 2027 edition compute both statistics at the reporting date so that they are comparable half on half.

4.6 What would make this sleeve wrong

The team is explicit. A permanent, verified peace agreement rather than another interim ceasefire, Hormuz fully reopened, and oil stabilising in the $70s or lower. In that world the regime thesis weakens and the portfolio should rotate toward the rate-sensitive sectors it currently underweights, at the December rebalancing or on an earlier trigger.

The paper also states the two scenarios symmetrically. If the ceasefire holds, oil settles into the $70s, inflation resumes its decline and the rate-sensitive underweights reverse and drag, which is the exposure the portfolio carries. If the ceasefire collapses, energy and defence gain, banks benefit from higher-for-longer rates and the underweights are vindicated. With energy at roughly 5% and the underweights held through the core, a sustained move of $10 to $15 in Brent is meaningful but not dominant.

Section 5

Fixed Income

From "Fixed Income Portfolio" by Anastasia Shevchuk, Johannes Volkemer and Raphael Banner, 2 July 2026. Analysis cut-off 26 June 2026.

5.1 Mandate

The fixed income sleeve is the book's designated shock absorber, built around three guiding principles. First, a safe foundation that dampens volatility rather than generating additional risk. Second, a deliberately lower sensitivity to rate moves than long-duration benchmarks, described in the paper as a lower beta profile, in order to reduce dependence on any single monetary-policy driver. Third, diversification across both currency areas and maturity segments through a ladder of duration buckets.

The strategic split is **70% EUR and 30% USD**. For a euro-based fund the euro sleeve avoids a currency mismatch between assets and liabilities, while the smaller unhedged USD sleeve buys exposure to a different interest-rate cycle without letting exchange-rate risk dominate returns. The team considered hedging and rejected it on cost. Hedging expenses are driven by the EUR to USD interest-rate differential and would materially reduce the yield advantage that makes the USD exposure attractive in the first place, while adding operational complexity.

The mandate is active rather than purely passive. Weights between maturity buckets and between currency areas can be adjusted on the triggers set out in Section 8.

5.2 Two central banks, two structures

The ECB is tightening into weak growth because inflation risks remain material. With roughly one further hike already priced, the EUR sleeve runs a **mild barbell of 50% short, 15% intermediate and 35% long duration**. The short bucket absorbs ECB repricing with minimal price risk through money-market, floating-rate and 1 to 3 year government positions, and it provides stable carry while preserving capital. The intermediate bucket introduces spread income through investment-grade corporate and covered bonds. The long bucket preserves diversification against equity drawdowns and provides flight-to-quality protection and convexity if growth deteriorates enough for yields to fall.

The Fed is expected to hold rates broadly stable through 2026 before easing gradually from 2027, in line with the June Summary of Economic Projections and with Goldman Sachs' revised expectation of cuts from mid to end 2027. The USD sleeve therefore runs a **bullet: 20% short, 50% intermediate and 30% long**, with intermediate investment-grade credit as the core exposure positioned for the most likely policy path. The 1 to 3 year Treasury segment is held at a deliberately reduced weight because it absorbed the sharpest yield repricing after the June FOMC as markets adjusted to a higher projected terminal rate, with money-market and floating-rate instruments taking a proportionally larger share of the short bucket instead. The long end is supported by the Fed's longer-run neutral rate projection of approximately 3.0%, which provides a fundamental anchor for the long Treasury curve.

5.3 Duration, and the one position that dominates it

The blended book runs approximately **4.3 years of duration**, with the EUR sleeve at approximately 4.6 years and the USD sleeve at approximately 3.5 years. That is the figure behind the sleeve's lower-beta positioning relative to long-duration benchmarks, and it is what turns an asserted claim into a checkable one.

The most important single fact about the sleeve's risk is concentration rather than level. **The 15 to 30 year EUR government anchor, at an 18% weight and an effective duration of approximately 15.9 years, contributes roughly 62% of the EUR sleeve's duration on its own.** That cuts both ways. It is what delivers the convexity and flight-to-quality protection the barbell exists for, and it is also the reason a sustained rise in long euro yields would dominate the sleeve's return. We regard stating it plainly as more useful to a reader than the "low beta" label on its own.

5.4 Sovereign spread risk

Fiscal sustainability matters because euro-area sovereign debt is not homogeneous. The euro-area aggregate government debt ratio stood at **87.8% of GDP in Q4 2025**, with material country dispersion:

Country	2025 debt to GDP
Germany	63.5%
Spain	100.7%
France	115.6%
Italy	137.1%
Greece	146.1%

Italy and France are named as monitoring priorities rather than active bets, because high debt ratios combined with higher rates increase sensitivity to refinancing costs, rating risk and political risk. The ECB's tools, the flexibility of PEPP reinvestments and the Transmission Protection Instrument, remain relevant, but the team is careful to say that they do not remove spread risk if fiscal credibility weakens. Given the sleeve's focus on stability, spread exposure is kept controlled.

5.5 The US inflation picture behind the caution

Core PCE peaked near 5.6% in February 2022, declined to approximately 3.1% by the end of 2023 on revised data, bottomed near 2.6% in early 2025, and rose to approximately 3.3% year on year by April 2026. Over the same period the federal funds target range fell from a peak of 5.25% to 5.50%, set in July 2023 and held into August 2024, to 3.50% to 3.75% in May 2026. Combined with the team's read of the labour market, where unemployment is low by historical standards and wage growth continues to support services inflation, that is consistent with restrictive policy for an extended period, which is what the USD intermediate bullet is positioned for.

5.6 What the sleeve deliberately does not do

Across 12 EUR and 8 USD UCITS products, all screened for rate sensitivity, credit quality, liquidity and replication method, the sleeve avoids large directional calls on either central bank's next move, prioritising capital preservation and stability over yield maximisation. It is the part of the book designed to be boring. The team also records its own limitations plainly, that the analysis excludes geopolitical developments after 26 June including the renewed escalation, and that market-implied pricing referenced throughout is a snapshot of expectations rather than a forecast.

Section 6

Commodities

From "Commodities Research Paper" by Jakob Hautkappe and Jonathan Nadar, 25 June 2026.

6.1 The allocation, and why it is not the optimum

The commodities sleeve is **50% gold, 30% copper, 20% passive agriculture and 0% oil**. It is explicitly not the mathematical optimum. An unconstrained maximisation of the Sharpe ratio over twenty years of data collapses onto roughly 96% gold and 4% copper, and even under a minimum copper constraint with no oil the formal optimum is 75% gold and 25% copper, with a Sharpe of 0.478. The team declined to follow it, for three reasons that generalise beyond this sleeve.

1. The optimum reflects **realised returns from a twenty-year gold bull market**, not a forecast. The covariance structure estimated from that history is stable and usable. The mean returns are not a prediction. The team therefore kept the empirical covariance as an input and overrode the historical returns with forward conviction, an approach aligned with the Black-Litterman intuition rather than a formal implementation of it.
2. Gold had corrected roughly 25% from its late-January record over a short window, and entering at maximum size into a position that has just fallen sharply is operationally imprudent regardless of what an optimiser says.
3. Holding gold at 50% rather than 75% preserves the option to add to gold, or to fund a triggered oil engagement, without breaching a structural ceiling.

Metric	Recommended 50/0/30/20	Conviction variant 40/0/40/20	No passive layer 50/0/50/0
Expected return per year	8.0%	7.6%	9.4%
Annualised volatility	15.3%	16.1%	17.8%
Sharpe ratio at 2.5% risk-free	0.359	0.317	0.387
Effective number of bets	2.63	2.78	2.00
Efficiency loss against the frontier	4.4%	9.6%	13.4%
Risk contribution, gold and copper and passive	approximately 46%, 39%, 15%	copper approximately 55%	not applicable

The recommended allocation sits at the knee of the trade-off curve between risk-adjusted return and diversification. It carries the lowest volatility of the whole top group, sits only 4.4% off the mean-variance frontier, and distributes risk in a balanced way rather than concentrating it.

The **risk-free rate of 2.5%** used throughout is a deliberate choice rather than an oversight. The fund is denominated in euros, so the relevant cash alternative is a short-dated euro instrument rather than a US Treasury bill, and euro short rates in mid-2026 sit materially below US rates. It should be read as a euro-area cash anchor, not as a claim that 2.5% is the correct risk-free rate in absolute terms.

One qualification the paper makes itself and that a reader should carry forward. The **effective number of bets**, a measure of how concentrated a portfolio is where a book spread evenly across n positions scores close to n, is computed from portfolio weights alone. It does not incorporate the cross-correlations between the holdings, so true risk-based diversification sits somewhat below the 2.63 figure.

6.2 Gold: structural long, moderate to high conviction, cautious entry

The conviction is split deliberately, because the analytical case is strong while the cyclical timing is adverse, and the team keeps those two assessments apart rather than blending them into one comfortable number.

The textbook relationship broke, and the team tested it rather than asserting it. Gold's classical driver is the real ten-year yield, through opportunity cost: gold pays no coupon, so its competitor as a store of value is the inflation-protected bond. That relationship governed gold from 2005 to 2021. A cointegration test, which asks whether two series share a stable long-run equilibrium, finds one before 2022 with the economically correct negative coefficient and a stationary residual, at an ADF statistic of minus 3.778 against a 5% critical value of minus 3.34 and a coefficient of minus 0.3329. After 2022 the equilibrium breaks down. The residual is non-stationary at minus 0.571 and the fitted sign flips positive, meaning gold rose alongside rising real yields. A quarterly regression with Newey-West standard errors, which correct for serial correlation and changing variance, confirms it from the other side. The real-yield beta falls from significant to insignificant, the share of gold's quarterly variation explained by macro factors drops from about 47% to about 13%, and the unexplained drift rises from about 1.8% to about 6.2% per quarter.

The paper is careful about the strength of that evidence, and we endorse the care. The post-2022 regression rests on only 18 quarterly observations, where Newey-West standard errors are asymptotic and fragile, so the significance should not be overstated. The implied post-2022 Sharpe ratio of roughly 1.4, derived from the intercept, inherits the same 18-quarter limitation and is described in the paper as an aggressive rather than a settled number. The direction of the finding is credible and multiply corroborated. The precision is not, and the position is sized to the falsification rule rather than to the point estimate.

The driver that took over is the official sector. Central-bank net purchases ran at 863 tonnes in 2025, about twice the pre-2022 base near 470 tonnes, after three consecutive years above 1,000 tonnes from 2022 to 2024. This is price-insensitive, strategic reserve diversification that accelerated after the 2022 freezing of Russian reserves, and it places a floor under the market that did not exist a decade ago. As official buying decelerated in 2025 the marginal buyer rotated to exchange-traded funds, which flipped from net outflow into the rally to about 400 tonnes of inflow in the second half of 2025. Because gold is an above-ground-stock market, price is set by this investment and official-sector flow against a near-fixed stock, which is why a record 2025 total supply near 5,002 tonnes could not cap the price.

> ***Fund view: an open item now closed.*** The paper marks the 863-tonne figure for confirmation against the World Gold Council's full-year 2025 release. We have confirmed it. The Council reports official-sector net purchases of 863.3 tonnes for 2025, a decline of 21% from 1,045 tonnes in 2024 and the lowest annual total since 2021, but still well above the 2010 to 2021 annual average of 473 tonnes. Council data for 2026 shows 244 tonnes of net purchases in Q1, up 17% on the prior quarter, with a full-year 2026 forecast of 700 to 900 tonnes. **The structural bid on which the gold thesis rests was intact at the reporting date and remains intact at publication.**

The cyclical backdrop is adverse and the paper says so. Real yields are stretched, with the ten-year TIPS yield at 2.18% on 9 June, a z-score of plus 2.77 against its own 252-day history. The dollar is firm at a z-score of plus 1.66. The conditional forward-return work places real-yield momentum, the dollar and volatility all in their unfavourable quartiles. Spot traded at roughly $4,160 to $4,190 in late June, about 25% below the late-January 2026 record near $5,590. Positioning is the one constructive cyclical reading, with CFTC managed-money net length of 111,341 contracts washed out to mid-range rather than crowded after a late-April trough of 89,752, which means the rally is led by the structural bid and not by leveraged speculation.

The decision that follows is to build the unlevered physical core now, sized to the falsification rule rather than to a price stop, and to stage the tactical and leveraged expressions against confirmation. The single decisive forward event inside the horizon is the 29 July 2026 FOMC meeting, which either relieves or entrenches the real-yield headwind. The core instrument is a physically backed gold ETC rather than a futures position, because the futures curve is in contango and the roll cost measures approximately 8% per year, which a multi-quarter hold cannot absorb.

Falsification. The structural core closes, regardless of price, on any one of three observable conditions: the real-yield cointegration re-establishing with a negative sign for two or more consecutive quarters, central-bank net buying falling below the roughly 470-tonne base **while** ETF flows turn net negative for two consecutive quarters, or the quarterly drift dropping below about 1% and losing significance. Separately, the tactical sleeve carries an 8% price stop from entry, and a structural line is drawn at a sustained weekly close below $4,000.

6.3 Copper: moderate long at half the risk budget

The legacy signal died. For years a soft Chinese manufacturing PMI was read as bearish for copper. The correlation between PMI changes and LME three-month returns fell from a significant plus 0.102 before 2022 to an insignificant minus 0.006 after. The team confirmed the break across four independent methods: regime-split correlation matrices, a rolling 252-day correlation, conditional forward-return analysis whose quartile relationship inverts post-2022, and an independent recomputation. The practical consequence was to disable the PMI reflex entirely. The mechanism is that the composition of Chinese demand shifted away from broad manufacturing toward grid build-out, electrification and data-centre construction, so an aggregate activity index no longer maps to the metal. As the PMI signal died, the LME carry gained explanatory power, moving from insignificant before 2022 to significant after.

Demand is now read through physical indicators. The Yangshan premium, which is what Chinese buyers pay above the domestic spot price to secure imported metal cleared at a bonded warehouse, sits in its bullish top quartile at a z-score of **plus 1.24**, and China's refined imports running about **plus 5.2% year on year** corroborate it as genuine demand rather than financing activity. In the post-2022 sample the top quartile of the Yangshan z-score preceded an average return of plus 4.47% over twelve weeks at a 79% hit rate.

The corroborating signals are not confirming, which is why the position is half-sized. The LME carry sits at a z-score of plus 0.05, in the middle 50%, so the curve does not yet show the backwardation a genuine China-tightness rally should eventually produce. The mining equities, Freeport-McMoRan and Antofagasta, which are the dominant coincident factor at correlations of roughly 0.58 to 0.68, show mild negative divergence rather than confirmation. The composite signal reads **plus 0.259**, above the midpoint but below the plus 0.334 boundary of the historically strongest quartile.

The honesty that earns the half-size. The headline Yangshan edge, while economically meaningful, is **not statistically significant on independent non-overlapping windows**. The post-2022 sample leaves only about 53 independent observations and the test returns a p-value near 0.21. The team disclosed this rather than reporting only the overlapping-window result, and then sized the position at half the risk budget in response. Visible LME warehouse stocks read high at a z-score near 1.9, which would normally be bearish but is interpreted as tariff-driven stockpiling rather than genuine surplus, and the paper is explicit that this interpretive overlay would be reassessed if the tariff regime resolves in a way that changes how the inventory signal should be read.

Rules. Scale up to maximum size only if the composite clears plus 0.40 **and** the Yangshan z-score exceeds plus 1.5 **and** the carry z-score exceeds plus 0.5. Note that the operational scale-up threshold of plus 0.40 sits deliberately above the empirical top-quartile boundary of plus 0.334. Reduce to roughly half if the Yangshan z-score crosses below zero or Antofagasta's 60-day relative performance falls below minus 3%. Exit if the composite falls below minus 0.10, the Yangshan z-score below minus 0.5, or the carry z-score below minus 1.5. Price stops at minus 10% soft and minus 15% hard from entry, against a tail that reaches minus 67.4% over the full history and minus 32.8% in the post-2022 regime. A mandatory trend stop applies if the LME three-month price closes below its 200-day moving average for three consecutive days. The thesis is killed outright if LME stocks rise more than 50% year on year while the Yangshan z-score falls below minus 1, which would show simultaneous inventory glut and Chinese demand collapse.

> ***Fund view: two external checks.*** First, the copper dashboard originally carried LME warehouse stocks at 2,111.8 with the unit flagged for verification. That print was a unit error and has been corrected in the republished paper against LME published stock levels, which stood near 342,000 tonnes at the paper's cut-off and in the region of 300,000 to 320,000 tonnes through early July. Second, the paper treats a multi-year mine-supply deficit as a structural floor beneath the trade. Published estimates for the **refined** market point the other way for 2026. The International Copper Study Group projects a surplus of roughly 96,000 tonnes for 2026 and 377,000 tonnes for 2027, and Macquarie a surplus of roughly 262,000 tonnes for 2026. We do not read this as invalidating the thesis, which rests on Chinese physical tightness at a six-month horizon and treats mine supply as support rather than as the engine. We do read it as a reason to present the structural floor as a long-horizon mine-supply argument rather than as a near-term balance claim. A third item, relevant to the tariff overlay: the US Section 232 follow-up report on refined copper was delivered on 30 June with a recommendation of a staged tariff of 15% from January 2027 and 30% from January 2028.

6.4 Oil: zero strategic weight, one fully specified conditional engagement

On twenty years of realised data, oil is the **weakest asset in the candidate set**. A Sharpe ratio of 0.04, a maximum drawdown near minus 87%, an annualised volatility of 37.0%, and a weight of exactly zero in every long-only maximum-Sharpe solution the portfolio work produced. Even in the pure minimum-variance portfolio, which targets risk reduction alone, oil reaches only 3.4%. Its low correlation with gold at 0.16 is a real diversification benefit but too small to offset the weak return and the extreme tail, and it can be supplied more cheaply by the passive layer. Every allocation with a meaningful oil weight shows an efficiency loss of 15% to 36% against the frontier, while the oil-free allocations cluster near it.

Oil therefore enters the book only through a standalone, thesis-driven engagement.

The thesis. For three decades the market treated a Hormuz closure as a theoretical tail and priced Gulf-security risk at near-complacency. The 2026 war converted that scenario into a demonstrated operational reality. Iran laid mines, boarded vessels, enforced a closure for months, formally redefined the strait as an operational area in May 2026, and extracted concessions in the process. War-risk insurance repriced from about 0.125% of hull value per transit to between 0.2% and 0.4%, which is the concrete footprint of the change. The team is careful about what it needs to prove: not that the shift is permanent, only that the probability distribution for Gulf supply security has moved enough that a near-zero premium is no longer fair, with the residual uncertainty managed through entry gates and a stop.

A fair premium is decomposed rather than asserted:

Component	USD per barrel	Basis
Pre-war fundamental anchor	$65	Team data. Brent mean $64.6, range $58.9 to $72.5, Q4 2025 to 27 February 2026
Plus inventory-tightness premium	plus $8	Roughly 900 mb cumulative 2026 deficit, OECD cover heading to about 50 days. **Decays** as stocks refill
Plus spare-capacity and structural-volatility premium	plus $4	UAE exit thins the OPEC+ buffer from 3.8 to 2.5 mb per day. **Permanent**
Plus geopolitical and Hormuz security premium	plus $8	New-regime standing premium, approximately zero before the war
Equals normalised fair value	**$85**	Inside the published analyst cluster of $80 to $90

At roughly $77.5 on 23 June, the embedded premium was $12.5 against a fair structural premium near $20, a discount to normalised fair value of about 8.8%.

The framework is built to stand between two symmetrical errors: assuming the danger has passed because the price has fallen, and assuming the closure is permanent because it happened once. It therefore requires **three gates to align simultaneously**, because price alone never triggers entry.

Gate	Requirement	Status at the reporting date
1. Valuation	Brent at or below the value-emerging upper bound near $82, with the high-conviction zone at $65 to $75	**PASS as a probe.** Live Brent approximately $77.5, in the value-emerging band, high-conviction zone not reached
2. Premium intact	Flows below the 15 mb per day norm, mines not certified cleared, insurance above the 0.125% baseline, operational-area posture standing, no holding settlement, OECD cover below 55 to 60 days	**PASS.** The danger is real and merely mispriced
3. Deterioration catalyst	A concrete sign the best-case reopening is faltering: renewed incident or vessel attack, talks stalling, enforcement action, insurance ticking back up	**NOT FIRED.** No active catalyst at the reporting date
Combined	All three must be true	**WAIT**

When activated, the position is sized small, below the gold and copper risk budget, stopped on a durable close below roughly $58 to $60 **with the strait verifiably and permanently open and mines cleared**, and pre-committed to exit on confirmation of a durable reopening.

6.5 The passive agriculture layer

The layer earns its 20% on the risk side alone. Over the twenty-year window its own Sharpe ratio is **negative at minus 0.09** and its return is effectively zero. Its entire value is variance and drawdown dampening, and there it is substantial. In the minimum-variance portfolio it receives a weight of 33%. Concretely, adding a 20% passive weight to the 50/0/30 portfolio lowers volatility **from 17.8% to 15.3%** for a moderate Sharpe decline from 0.387 to 0.359.

As Section 3.2 sets out, its diversification is concentrated against gold at 0.21 and weakest against copper at 0.34, which means it diversifies best against the position the sleeve already holds as its stability anchor. The product choice was defended on data rather than convenience. Of the two agriculture variants examined, the investable vehicle carried the better risk-adjusted history at minus 0.09 against minus 0.18 for the broader alternative. The paper also records a methodological note that does the team credit: the original analysis tool did not recompute portfolio volatility and Sharpe in some passive scenarios, so the figures are recomputed directly from the covariance matrix, and the corrected numbers make the layer's volatility-dampening benefit somewhat larger than the raw tool output suggested, not smaller.

6.6 Deployment

Capital is deployed **mostly upfront and lightly staged across two to three trades**. Mechanical calendar averaging is rejected, and the reasoning is derived rather than asserted. Simulating deployment over the 126-trading-day horizon on the recommended portfolio's moments, a same-day lump sum returns about 4.08% on average with a fifth-percentile outcome near minus 13.4%, while full weekly averaging over three months returns about 3.40% with a fifth-percentile near minus 11.1%. The cost of waiting ranges from about 0.14 percentage points for light staging to 0.68 points for full weekly averaging, the tail cushion bought ranges from 0.54 to 2.37 points, and phasing beats lump sum only 45% to 47% of the time. A robustness check that strips out the drift estimate is the decisive one: with zero drift the means converge and phasing's only durable benefit is variance and tail reduction, while its cost is conditional on a drift the team does not trust.

The plan deploys roughly two thirds at approval, comprising the full passive layer, the gold physical core and an initial copper slice, none of which carries a signal to wait. The remaining gold is staged on the next gold trigger or within three to four weeks. The remaining copper is staged against the copper scale-up signal rather than bought at the high. A **hard backstop fully deploys the book within six to eight weeks regardless of triggers**, because an indefinitely deferred entry is itself an uncompensated timing bet.

6.7 Instruments and what remains open

The gold line is deployable as a physically backed ETC at a 0.12% expense ratio, after the paper corrected an earlier reference to US-listed trusts that EU clients cannot buy. The copper, passive and oil instruments require due diligence the team did not complete, and each field is marked for verification rather than invented. One tension is flagged explicitly and is worth repeating here: the copper ETC carried in the instrument table is a Bloomberg-subindex product bearing the same roll and collateral drag that disqualified the gold futures route at roughly 8% per year, so it will not track the LME three-month analysis and must pass the same roll-cost filter before it goes live. The passive layer's realised correlation against gold and copper must be checked on first data, since a realised figure above 0.25 with either would weaken the diversification case.

Section 7

Research Foundations

The two literature reviews published this half are not portfolio papers, but they set the standard the portfolio work is held to.

7.1 The Efficient Market Hypothesis

Takudzwa Mutetwa, Sebastian Maurer and Sean Pascal, 2026.

The review works through the case for and against beatable markets. Fama's classification of weak, semi-strong and strong-form efficiency. Samuelson's proof that properly anticipated prices fluctuate randomly. The joint-hypothesis problem, which is that any evidence of abnormal returns is inseparable from the model used to define normal returns. Grossman and Stiglitz's demonstration that perfect informational efficiency is theoretically impossible when information is costly, because informed investors must be compensated for gathering it. The anomaly literature on size, value, momentum and low volatility, and McLean and Pontiff's finding that documented anomalies decay after publication. Shleifer and Vishny on the limits to arbitrage. Sharpe's arithmetic of active management, that in aggregate and after costs the average active dollar must underperform the average passive dollar, with the SPIVA scorecards as its empirical counterpart. And Lo's Adaptive Markets Hypothesis, which treats efficiency as time-varying rather than absolute and depending on the number and diversity of participants relative to the profit opportunities available.

Its pragmatic conclusion is the fund's operating philosophy, and we state it as such. **Passive exposure is the benchmark. Active risk must be funded only where there is a clear and testable reason to believe an edge exists**, and that edge must come from a specific inefficiency rather than a vague belief that markets are wrong. The plausible locations are where information is costly, assets are illiquid, investors are constrained, markets are segmented, or behavioural and institutional frictions prevent arbitrage from working smoothly. Markets are difficult to beat, and the burden of proof sits with active management.

The review's chapter on efficiency across asset classes is the part most directly useful to this book, because it argues that efficiency is not uniform. In fixed income, bond benchmarks are not always directly investable, so measured underperformance against a theoretical index can reflect the cost of investability rather than a lack of skill. In commodity futures, efficiency differs by group, with energy among the most efficient and livestock among the least.

7.2 The Volatility Risk Premium

Leon Hendrischk, Friedrich Morris and Linda Zillmer, June 2026.

The review surveys the premium between option-implied and subsequently realised variance, defined as the risk-neutral expectation of future realised variance minus the physical expectation, which is positive in equity index markets under the convention used. It sets out four non-exclusive explanations for why the premium exists: the insurance value of protection that pays off precisely when it is most needed, compensation for stochastic volatility risk that cannot be perfectly hedged, compensation for crash and jump-tail risk, and demand pressure in option markets where market makers cannot hedge perfectly. It then works through measurement, where the implied side can be inferred from option prices and variance swaps but the expected realised side must be estimated, which is why estimates of the premium's size differ across studies even where the conclusion is similar. The VIX supplies only the implied leg, not the premium itself.

The debates section is where the review earns its place in this report. **Persistence** is genuinely contested: recent work finds that premium alphas have been statistically indistinguishable from zero over roughly the past fifteen years, against a counter-position that the diffusive component has compressed while the tail and volatility-of-volatility components remain compensated. **Regime conditioning** produces a counter-intuitive result that contradicts the naive practitioner heuristic of selling harder when implied volatility is high: the ex-ante premium embedded in VIX futures falls, rather than rises, when ex-ante risk is elevated. Separately, monetary easing has been shown to compress both the risk-aversion and uncertainty components. **Decomposition** shows a striking asymmetry across methods and samples, that the downside and jump-tail component carries most of the return predictability while the diffusive centre contributes relatively little. **The intermediary channel** implies the premium is state-dependent, wide when dealer balance-sheet capacity is constrained and compressed when it is abundant.

Its conclusions for a student fund context are stated directly and we adopt them:

1. Any systematic volatility-selling strategy is implicitly **short a disaster claim**, not a generic variance claim. Position sizing must be calibrated to the fat tail, not to the historical mean return.
2. Historical Sharpe ratios derived from pre-2010 samples should be **discounted substantially**, and regime conditioning is a primary risk-management input rather than a secondary refinement.
3. The cleanest expressions of the surviving premium appear to be dispersion and correlation-risk strategies, and short-tail rather than short-diffusive positions.
4. Acting as the structural counterparty to retail tail-hedging flow is defensible only for entities with the balance-sheet depth to absorb the disaster payoff when it materialises.

5 The premium is **state-dependent compensation** whose magnitude varies with dealer capacity, the monetary regime and end-user insurance demand, rather than a passive carry that can be harvested mechanically.

7.3 How the two reviews bind the portfolio work

> ***Fund view.*** The reviews are not decoration, and the connections are specific.

The **EMH review's standard** is visible in the equity sleeve's 60% passive core, chosen precisely because broad, liquid developed markets are the hardest to beat, and in the commodities sleeve's passive layer, which exists to cover the segments where the team does not yet claim an edge. Its requirement that an edge be testable is what the commodities team's rule that every thesis commit to a single falsifiable driver enforces in practice. Its point about efficiency varying across asset classes explains why oil, in one of the more efficient commodity groups, takes zero strategic weight while a physical premium in copper is judged analysable.

The **volatility review's discipline** is visible in three places even though the fund runs no option strategy. Its insistence that pre-2010 Sharpe ratios be discounted is the same instinct that led the commodities team to refuse a twenty-year backtest as a forward forecast. Its insistence that sizing be calibrated to the fat tail rather than the mean is why copper is at half the risk budget against a disclosed p-value of 0.21, and why the paper reports the post-2022 tail of minus 32.8% alongside the base case. Its warning that a premium can be real on average and still state-dependent is the reason the equity team frames energy as a hedge with a defined trigger rather than as a conviction.

Fourth, and most usefully, the review's finding that the ex-ante premium **falls** when ex-ante risk is elevated is a warning this book should take seriously beyond options. The instinct to add risk into a visible crisis, because compensation looks high, is exactly what the evidence contradicts. The gold sleeve's decision to stage the tactical add against a turn in real-yield momentum, rather than into the current adverse reading, is the same discipline applied to a different asset.

Section 8

Risk and Monitoring

8.1 The consolidated risk picture

The book's largest active positions amount, in net effect, to a **position against a durable, rapid peace settlement**. We mitigate it three ways: through sizing, with equity energy already cut to 5%, defence resting on budget backlog rather than the oil price, copper at half budget and oil at zero. Through the 60% passive equity core, which participates in any technology and real-estate recovery. And through the fixed income sleeve's long-duration anchors, which are positioned to benefit in exactly the disinflationary world that would hurt the reflation trades.

Two qualifications belong alongside that, and both are the fund's own.

> ***Fund view.*** First, as Section 3.3 sets out, the fixed income hedge works against a **growth** shock and not against an **energy** shock. Second, the commodities team's reminder that correlations converge toward one in a sharp risk-off event means the modelled tails understate the true ones. The mean-variance figures in Section 6 assume the historical covariance persists, which is defensible over a long multi-regime window but understates convergence. We treat that as a reason for restraint in sizing rather than as a reason for inaction.

8.2 Consolidated triggers and limits

Sleeve	Monitoring	Rebalancing and exit triggers
Equities	Weekly: Brent and the US to Iran talks, ECB and Fed communications and hike-expectation shifts, EUR to USD, defence-budget news, satellite ETF spreads and liquidity before any resizing	Decision point is the December 2026 rebalancing, or earlier if a permanent verified peace agreement, a fully reopened Hormuz and oil stable in the $70s or lower jointly invalidate the regime thesis
Fixed income	Five areas: ECB outcomes, core inflation and negotiated wages. Fed SEP, PCE and labour data. Italy and France spreads against Bunds. The EUR to USD rate differential as the hedging-cost driver. The Middle East and Russia to Ukraine backdrop	ECB hikes beyond market pricing shorten EUR duration. Clear recession signs shift weight to the long bucket. Fed easing signals before mid-2027 lift USD intermediate and long weights. Spread widening beyond threshold cuts peripheral exposure. A fixed quarterly review confirms all weights regardless

Sleeve	Monitoring	Rebalancing and exit triggers
Commodities, gold	WGC quarterly tonnage, weekly ETF flows, CFTC positioning, real-yield momentum, the $4,000 weekly line	Core closes on any of three structural conditions. Tactical sleeve carries an 8% price stop. Structural line at a sustained weekly close below $4,000
Commodities, copper	Yangshan premium weekly, LME carry and stocks daily, China refined imports monthly, miner relative performance	Reduce if the Yangshan z-score falls below 0 or Antofagasta underperforms by more than 3% over 60 days. Exit if the composite falls below minus 0.10. Stops at minus 10% soft and minus 15% hard. Mandatory trend stop below the 200-day average for three consecutive days. Thesis killed if LME stocks rise more than 50% year on year while the Yangshan z-score falls below minus 1
Commodities, oil	The three gates, checked against flows, mine-clearance certification, insurance rates, posture and settlement status	Entry only when all three gates are simultaneously true. When active, stopped on a durable close below roughly $58 to $60 with the strait verifiably open. Exit on confirmed durable reopening

Decision points inside the positioning period: the 29 July 2026 FOMC, named in the commodities work as the decisive catalyst inside the horizon, and the **December 2026 rebalancing** as the primary evaluation for all three sleeves.

8.3 Secondary risks carried knowingly

A hawkish Fed surprise, which supports financials but pressures the core and gold. A deeper European recession, which is the genuine stagflation risk for EU banks and the European core, cushioned by valuation and dividend. Defence order timing, since backlogs are multi-year but delivery schedules slip. Dollar strength against the whole commodity complex, noting that continued dollar weakness helps euro returns, so the exposure is two-sided. The China concentration inside the rare-earths vehicle. And tariff policy as a distortion in the copper inventory and spread data.

Section 9

Events After the Reporting Date

> *This section covers 1 July 2026 to 27 July 2026. Nothing in it forms part of the half-year record in Sections 1 to 8. It is included because a report published in late July that stopped at 30 June would mislead by omission, and because the underlying papers state explicitly that they exclude these developments.*

9.1 The conflict re-escalated, then paused

Iran stated that it had exited the 17 June memorandum of understanding and resumed attacks on vessels not using its preferred northern route through the strait. At least nine ships were attacked from 6 July, including several Greek-owned tankers struck within 24 hours on 19 and 20 July. The United States conducted airstrikes on thirteen consecutive days to 24 July. Transits of ships with no Iranian connection fell to roughly 25 in the week of 13 to 19 July from 108 the week before, with total Hormuz traffic running around 90% below year-ago levels and fewer than ten vessels a day passing over the weekend of 25 to 26 July.

The disruption then widened geographically. Houthi forces announced a blockade of Saudi-linked shipping through the Bab el-Mandeb strait, struck two Saudi tankers, and marine war-risk underwriters began withdrawing cover for Saudi-linked cargoes in the Red Sea. By 24 to 27 July, US strikes had paused, Iran had halted retaliation, and Iranian and Omani negotiators were meeting on restoring Hormuz shipping, with no settlement concluded.

9.2 Prices

Brent traded down to roughly $70 in the first week of July, then crossed $100 on 23 July after the tanker attacks off Saudi Arabia, its highest in about three months, before falling back as strikes paused. It settled near $88 on 27 July, completing a round trip from roughly $70 to above $100 and back inside four weeks. Gold traded near $4,010 on 20 July and around $4,050 on 24 to 26 July. LME cash copper traded near $13,300 per tonne in early July, roughly 4.5% below its early-June level, and near $13,400 by 10 July. The US 10-year Treasury yield moved from 4.55% in mid-July to about 4.70% on 24 July, its highest since January 2025, before easing to roughly 4.63% on 27 July.

9.3 Inflation surprised to the downside in both blocs

The June US CPI, released on 14 July, showed headline prices falling 0.4% on the month, the largest monthly decline in more than six years, taking the annual rate to 3.5% from 4.2%. The energy index fell 5.7% on the month. Core CPI was flat on the month, pulling the annual core rate down to 2.6% from 2.9%. Euro-area inflation decelerated to 2.8% in June from 3.2% in May, the first decline this year, with core moderating to 2.4%. Chair Warsh publicly rejected the reading that the US print settled the question.

9.4 Central banks held, and the hike debate moved to September

The ECB kept all three rates unchanged on 23 July, leaving the deposit rate at 2.25%, published no updated projections, and left the door open to a September move. President Lagarde warned that the longer energy prices stay elevated, the more likely they are to feed through to broader inflation. The Federal Reserve decides on 29 July, one day after this report's data cut-off. A hold was priced at roughly 89% a week earlier, but by 27 to 28 July markets had moved to better than a one-in-three chance of a hike at this meeting, with roughly an 80% probability attached to a hike by September. The Bank of England decides on 30 July, with a hold at 3.75% the consensus and close to 40% of surveyed economists expecting at least one increase before year-end. The ECB remains the only major Western central bank to have raised rates in this cycle.

Section 10

Outlook for H2 2026

> *Fund view throughout this section.*

10.1 The regime read stands, with a wider distribution

Nothing in July falsified the late-cycle reflation call. The June inflation prints pull one way and the July energy tape pulls the other, which is precisely the two-sided, energy-transmitted regime all three teams described. What has changed is the width of the distribution. The market has now twice demonstrated how fast the geopolitical premium can compress, and twice demonstrated how fast it can rebuild. Positioning for the second half should assume that both directions remain live into December.

10.2 The oil framework now says wait for the opposite reason

This is the most instructive read-across in the report, and it is worth setting out in full.

Gate	Status at 30 June	Status at 27 July
1. Valuation	PASS as a probe, Brent near $77.5, inside the $75 to $82 band	**FAIL.** Brent near $88, above the probe band and far above the $65 to $75 high-conviction zone
2. Premium intact	PASS	**PASS, emphatically.** Transits roughly 90% below year-ago levels, the memorandum exited, insurers withdrawing Red Sea cover
3. Deterioration catalyst	NOT FIRED	**FIRED.** Nine or more vessels attacked from 6 July, thirteen days of strikes, blockade extended to Bab el-Mandeb
Combined	WAIT	**WAIT**

Two conclusions follow, and neither is comfortable.

The framework worked. It specified the entry condition in advance, in writing, with checkable indicators, and the conditions it named did occur. That is the whole point of pre-committing to gates rather than reacting to headlines.

A framework is worth little if the decision machinery cannot act inside its window. On the framework's own price bands and the observable catalyst record, there appears to have been a window in the first half of July when Brent traded near $70, inside the high-conviction zone, while the premium was intact and the deterioration catalyst had begun to fire. The sleeve was not deployed, because the paper's deployment plan begins on approval. A conditional engagement whose window is measured in days needs a standing pre-authorisation and a named decision-maker, not a paper cycle. That is our principal operational recommendation into the second half.

At $88 the framework says do not chase, and that instruction is the one that protects capital over a full cycle. It is being followed.

10.3 Gold: the structural line is close

Gold near $4,050 sits roughly 1% above the $4,000 weekly line the commodities team drew. It is the most immediately live monitoring item in the book, and the mechanism behind it deserves attention. **Gold fell during a geopolitical escalation**, because an inflationary energy shock pushes real yields and rate expectations up, and the real-yield and dollar channel dominates the safe-haven bid at this horizon. That is the commodities paper's own conclusion, that the geopolitical premium in gold is real but systematically over-estimated for persistence, confirmed against it in real time. None of the three structural falsification conditions has been met, and the Q1 2026 official-sector data points the other way. The core stands. The tactical add remains staged.

10.4 Fixed income: one confirming print away from a decision

The EUR barbell is built around one further ECB hike being priced. That has not been withdrawn, only pushed to September, so the front-end bias remains appropriate and nothing in the July meeting argues for shortening further. The June euro-area print at 2.8% headline and 2.4% core is, on the paper's own logic, the reading that would eventually argue for shifting weight toward the long bucket. One print is not a trend, and the July energy move threatens to reverse it. We would want a second confirming print before acting, and we would treat the September ECB meeting as the decision point.

10.5 Equities: the hedge earned its place

The 5% energy satellite and the 8% defence satellite were the two positions built for the escalation branch, and July was that branch. The team's falsification condition came closer to being met in early July, when Brent traded near $70, than at any point since February, and then reversed within a fortnight. The lesson we take is that the falsification rule is correctly specified, because it requires a verified and permanent settlement and a reopened strait rather than a price level. A price-only version of the same rule would have triggered a rotation days before the escalation that vindicated the original position.

10.6 The three things to watch into December

1 **The physical state of two chokepoints.** Hormuz transit counts, mine-clearance certification, war-risk insurance rates, and now the Bab el-Mandeb route as well. This single variable drives the energy premium, the inflation path, the rate path, and therefore most of the book.

2 **Whether the June disinflation was a print or a turn.** Two more soft core readings in either bloc would begin to invalidate the higher-for-longer premise across all three sleeves simultaneously.

3 **The official-sector gold bid.** The Q2 and Q3 World Gold Council tonnage against the roughly 470-tonne base, alongside weekly ETF flows. This is the largest single position in the commodities sleeve and it has a written kill condition attached to exactly this data.

Section 11

Conclusion: The Book in One Page

If a reader takes one page from this report, it should be this one.

In one sentence. The FS Student Hedge Fund enters the second half of 2026 with a book deliberately tilted toward a late-cycle, higher-for-longer regime driven by an energy supply shock, expressed through cheap and cash-generative equity exposure, a short-duration-biased bond sleeve, and a commodities sleeve anchored in a structural monetary-demand story, and sized so that no single geopolitical outcome determines the result.

What kind of book this is.

Dimension	Characterisation
Direction	Long risk, but value-tilted and defensive-tilted rather than momentum-following. No net short positions anywhere in the book
Dominant factor	A single geopolitical variable, the state of the Strait of Hormuz and now the Bab el-Mandeb, transmitted through energy prices into inflation and rate expectations
Active risk	Concentrated in a small number of specific, evidenced theses: banks and financials at 12% of the equity sleeve, an official-sector-driven gold long at 50% of the commodities sleeve, and a half-sized copper long. Everything else is passive by design
Duration posture	Deliberately short of long-duration benchmarks at approximately 4.3 years blended, with the long-end exposure concentrated in one euro government position that carries roughly 62% of the EUR sleeve's duration
Diversification	Real but bounded. Genuinely different drivers within the commodities sleeve, at correlations of 0.21 to 0.34, and across two currency areas in bonds. One shared geopolitical exposure across sleeves that we do not pretend away
Optionality	One fully specified, pre-authorised, currently inactive position, the conditional oil engagement, switched on only when three written gates align and otherwise held at zero
Discipline	Every position carries a written falsification rule or trigger set before entry. Three of the fund's most important findings this half were the overturning of the teams' own starting assumptions

Dimension	Characterisation
Income	A blended trailing dividend yield of 1.9% in the equity sleeve, roughly double the S&P 500, with carry from the bond sleeve's front end
What it is not	Not a market-neutral book. Not a volatility-selling book. Not an optimiser output, since the mathematical optimum was rejected on the record with the reasoning published. Not a claim to forecasting skill, but a regime read with defined conditions for being wrong

The three things that would change it.

1 **A verified, permanent settlement**, with Hormuz reopened, mines cleared, insurance normalised and oil stabilising in the $70s or below. This rotates the equity sleeve toward the rate-sensitive sectors it currently underweights, retires the oil option, and is the scenario the book is most exposed to.

2 **The gold structural bid fading**, with official-sector purchases falling toward the 470-tonne pre-2022 base while ETF flows turn negative. This would return gold to a real-yield-driven asset in a rising-real-yield world and close the largest single position in the commodities sleeve regardless of price.

3 **A genuine European recession** rather than the current stagnation. This would validate the long end of the EUR barbell, invalidate the European bank overweight, and turn the fixed income sleeve from a drag into the book's main contributor.

The honest summary. This is a research book built by students, tested against data rather than asserted, and published with its open items visible. Its central proposition is that a supply-driven inflation shock keeps policy restrictive for longer than markets expect, and that the assets which benefit are cheap, cash-generative and physically scarce. Its central discipline is that every one of those propositions has a written condition under which we stop holding it. The six months to December will tell us which half of that sentence mattered more.

Appendix A

Published Research

All five papers are available on the fund's Research page.

1 **Equities Portfolio Research: United States and Europe.** Timur Khairullin, Anton Hilger and Sandro Janashvili, 24 June 2026. The late-cycle reflation thesis and the 60/40 core-satellite US and European equity portfolio, from macro regime through sector conviction to a deployable UCITS instrument list.

2 **Fixed Income Portfolio: EUR and USD Sovereign, Corporate and Floating Rate.** Anastasia Shevchuk, Johannes Volkemer and Raphael Banner, 2 July 2026, analysis cut-off 26 June 2026. The defensive 70/30 two-currency bond book, a mild EUR barbell against a bullet-weighted USD sleeve, with monitoring and rebalancing triggers.

3 **Commodities Research Paper.** Jakob Hautkappe and Jonathan Nadar, 25 June 2026. The 50/30/20/0 gold, copper, agriculture and oil sleeve, built on twenty years of daily data, three documented regime breaks, and written falsification rules for every position.

4 **The Volatility Risk Premium: A Literature Review.** Leon Hendrischk, Friedrich Morris and Linda Zillmer, June 2026. What the academic and practitioner literature agrees and disputes about the premium, and what it implies for a student fund's risk discipline.

5 **Efficient Market Hypothesis: A Literature Review.** Takudzwa Mutetwa, Sebastian Maurer and Sean Pascal, 2026. The case for passive as the benchmark and the conditions under which active management can justify itself.

Appendix B

Open Items

We publish this register rather than keeping it internal, because a reader is entitled to know what has not been closed. Items are carried forward to the H1 2027 edition.

Item	Status
Gold 863-tonne figure for 2025	**Closed.** Confirmed at 863.3 tonnes against the World Gold Council full-year 2025 release
Four equity instrument lines marked "confirm"	**Closed.** ISINs verified against issuer product pages in July 2026 and entered in the republished paper. Listings to be re-confirmed in Interactive Brokers at deployment
Equity yield and beta computation date	Open. Computed 24 July 2026, outside the reporting period. Should be struck at the reporting date from the next edition
Copper, agriculture and oil instrument due diligence	Open. The copper ETC in the instrument table carries roll and collateral drag of the kind that disqualified the gold futures route and must pass the same filter
Copper LME warehouse stocks unit	**Closed.** The dashboard print was a unit error and has been corrected to the LME published level of approximately 342,000 tonnes at the paper's 24 June cut-off
Yangshan ticker reconciliation	Open. Used as CECN0002 against the planned YNSSPP
Passive layer realised correlation	Open. To be checked on first data. A realised figure above 0.25 against gold or copper weakens the diversification case
Correlation shorthand in the commodities methodology section	Open. States 0.33 to 0.34 where the measured range across the three pairs is 0.21 to 0.34
Sleeve weights within the total book	**Closed at final sign-off.** Entered in Section 3.1 as the value weights of the paper portfolio at its inception on 26 June 2026

Appendix C

Data Conventions

- **Reporting date:** 30 June 2026. Data cut-off for Section 9: 27 July 2026.
- **Source cut-offs:** equities and commodities papers, 24 June 2026. Fixed income paper, 26 June 2026 analysis cut-off, published 2 July 2026. Each figure carries the cut-off of its source paper unless stated otherwise.
- **Commodities analysis:** daily data from 2 January 2005 to June 2026, aligned to a common trading-day calendar. Prices in log returns, rates and yields in first differences, conditioning signals as rolling 252-day z-scores, annualisation on a 252-day basis. Risk-free rate 2.5% per year as a euro-area cash anchor.
- **Equities:** macro and instrument figures cross-checked against primary or institutional open sources. Valuation and dividend snapshots dated to 11 June 2026 unless stated. Portfolio yield and beta computed 24 July 2026.
- **Fixed income:** product durations are stated as approximations in the source tables and the sleeve figures are derived from them.
- **Naming convention:** the report is named for the period it positions for. The next edition, positioning for January to June 2027, will be the H1 2027 Report, with a reporting date of 31 December 2026.

Appendix D

Short Glossary

Barbell and bullet: a barbell concentrates a bond portfolio at the short and long ends of the maturity curve, a bullet concentrates it in the middle. **Basis point:** one hundredth of a percentage point. **Cointegration:** a test for whether two series share a stable long-run relationship rather than merely drifting together. **Contango:** a futures curve where longer-dated contracts are more expensive, so a long position loses money as it rolls forward. **Duration:** the approximate percentage change in a bond's price for a one-percentage-point change in yields. **Effective number of bets:** a diversification measure where a portfolio spread evenly across n positions scores close to n. **Efficiency loss:** how far a portfolio sits below the best achievable risk-adjusted return for its level of risk. **Joint-hypothesis problem:** the fact that any test of market efficiency is simultaneously a test of the model used to define normal returns. **Newey-West standard errors:** regression standard errors corrected for serial correlation and changing variance. **Sharpe ratio:** return above the risk-free rate per unit of volatility. **UCITS:** the EU regulatory framework under which retail-accessible European funds are structured. **Variance risk premium:** the gap between option-implied variance and subsequently realised variance. **Yangshan premium:** the price Chinese buyers pay above domestic spot to secure imported copper at a bonded warehouse, a direct read on physical demand. **z-score:** how many standard deviations a reading sits from its own recent average.

Appendix E

External Data Sources

The report draws on the five research papers in Appendix A, which carry their own reference apparatus. External market and macro facts referenced directly in this report come from the following primary sources.

- **US Energy Information Administration (EIA):** daily Brent spot assessments, Short-Term Energy Outlook, crude inventory data.
- **FRED, Federal Reserve Bank of St. Louis:** daily Brent spot (DCOILBRENTEU), core PCE (PCEPILFE), Treasury yields.
- **European Central Bank:** monetary policy decisions, staff projections, euro area AAA 10-year yield curve (Data Portal), euro reference exchange rates.
- **US Federal Reserve:** FOMC statements and the June 2026 Summary of Economic Projections.

- **Eurostat and national statistical offices (BEA, BLS, ONS, Destatis):** inflation, GDP, labour market and government debt data.
- **World Gold Council:** central-bank demand statistics, Gold Demand Trends, full-year 2025 and Q1 2026 releases.
- **London Metal Exchange:** copper prices and published warehouse stock levels.
- **CFTC:** Commitments of Traders positioning data.
- **International Copper Study Group and published analyst estimates:** refined copper market balance projections.
- **Bank of England, Bank of Japan:** policy decisions.
- **Public news reporting** (Reuters, Bloomberg, CNN, CNBC and others) for the July 2026 conflict record in Section 9.

Notice

Disclaimer

This report was produced as part of an academic project and is intended solely for academic purposes within the context of education and research. All statements, assessments and product selections do not constitute investment advice and must not be construed as a recommendation or solicitation to buy or sell any financial instrument. The authors are not licensed investment advisers. The FS Student Hedge Fund is a student initiative at Frankfurt School of Finance and Management. It is not a legal entity, is not supervised by BaFin or any other regulator, manages no client assets and operates a simulated paper portfolio only. This document takes no account of the individual circumstances, objectives, financial situation or needs of any reader, and no personal recommendation is made or implied.

To the extent that any content of this report were considered an investment recommendation within the meaning of Art. 3(1)(34) and (35) and Art. 20 of Regulation (EU) No 596/2014 (Market Abuse Regulation) in conjunction with Delegated Regulation (EU) 2016/958, the following disclosures are made. This report was produced by the Hedge Fund Department of the FS Student Hedge Fund and completed in late July 2026. Facts are distinguished from interpretations and opinions throughout, with departmental judgements marked as Fund view. Material sources are indicated in Appendix E and in the underlying research papers listed in Appendix A, which contain the detailed methodologies and assumptions. Sleeve weights and instrument allocations describe the construction of the initiative's simulated research portfolio, with a horizon to the December 2026 evaluation unless stated otherwise, and their meaning is explained where they appear. Scenario values, fair-value estimates and projections are labelled as such and rest on the stated assumptions. A list of all research published by the initiative in the preceding twelve months is available on the fund’s Research page. Neither the initiative nor the authors hold positions in the instruments discussed, have any business relationship with any issuer mentioned, or receive any remuneration in connection with this document. No conflicts of interest exist.

Investments in financial instruments involve risks, including the possible loss of the entire amount invested. Past performance and simulated results are not a reliable indicator of future results.

All market data, interest rates and product metrics reflect the state of knowledge at the times indicated. The reporting date is 30 June 2026. Figures drawn from the underlying research papers carry those papers' own cut-off dates of 24 to 26 June 2026. Section 9 carries a data cut-off of 27 July 2026 and is expressly separated from the half-year record. Markets have moved since, and in the current environment they may have moved materially. No warranty is given as to the completeness or accuracy of the information presented. Items identified as open in Appendix B should be treated accordingly. Before making any actual investment decision, readers are advised to consult current product documentation, including the key investor information document and prospectus of the relevant funds, as well as independent professional advice.

FS Student Hedge Fund, Student Initiative of Frankfurt School
Hedge Fund Department, Frankfurt School of Finance and Management, July 2026